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Recycling with the Best

Weekly Ship Recycling Report

04 May - 10 May 2024

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Highlights of the week

The recycling market across various regions exhibits varying trends and challenges. In India, the market is experiencing a robust upward trajectory, driven by strong local demand and a consistently healthy demand for steel, which bolsters the market's overall health and maintains its growth. Conversely, in Bangladesh, market demand remains tepid and unchanged, displaying a lack of aggressiveness. Additionally, the Central Bank of Bangladesh's adjustment of the Taka's value complicates financial transactions, affecting the recyclers' ability to arrange LC at a favorable rate. Pakistan's recycling market is facing a period of stagnation, with no significant activity or momentum, making it difficult to predict when the market might pick up again. Similarly, Türkiye's market also shows no significant changes from the previous week, maintaining a steady state in market activities.

China's steel industry is currently facing significant challenges due to overcapacity, signaling a potential end to its era of dominance. Despite an increase in steel production, a downturn in the property market and a slowdown in infrastructure spending have led to a steep plunge in prices. These factors collectively contribute to heightened concerns that the sector may be on the brink of a severe downturn. Moreover, international reactions have intensified, with Washington calling for higher tariffs on Chinese steel imports, Chile making moves to curb shipments, and Vietnam considering a probe into the imports. The situation poses substantial risks not only domestically but also in terms of international trade tensions, underscoring the need for strategic adjustments in the industry.

Exchange Rates:

USD / INR ₹

This Week	: 83.51
Previous Week	: 83.42
Lost	: 0.09

USD / BDT ৳

This Week	: 116.99
Previous Week	: 109.60
Lost	: 7.39

USD / PKR Rs

This Week	: 278.03
Previous Week	: 278.20
Gained	: 0.17

USD / TRY ₺

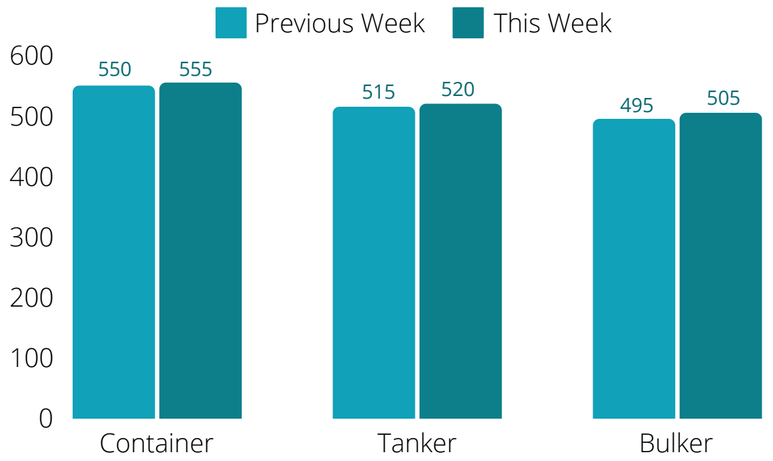
This Week	: 32.23
Previous Week	: 32.36
Gained	: 0.13

India

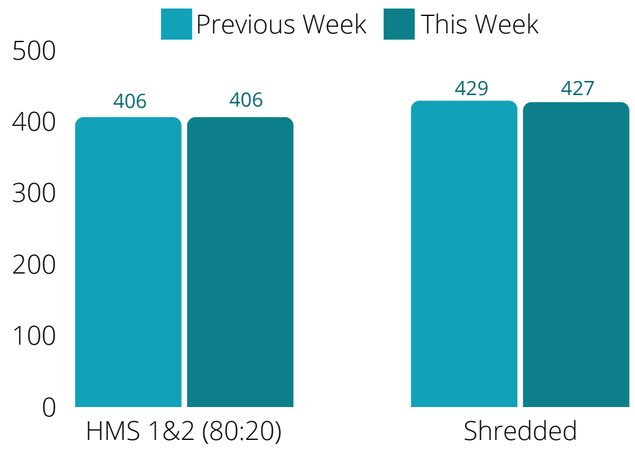
Consistent performance and strong steel demand drive sustained upward trajectory.

- The market maintains consistent performance, mirroring previous trends demonstrating a strong upward trajectory influenced by substantial local demand.
- The demand for steel remains strong, playing a significant role in bolstering the overall market health and sustaining the upward momentum.
- Demand for steel in India is expected to grow by 8-10% in fiscal year 2024/2025, influenced by Chinese steel production levels and export volumes, which will continue to impact global steel prices and costs in India.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

10 May to 13 May 2024

21 May to 29 May 2024

03 June to 11 June 2024

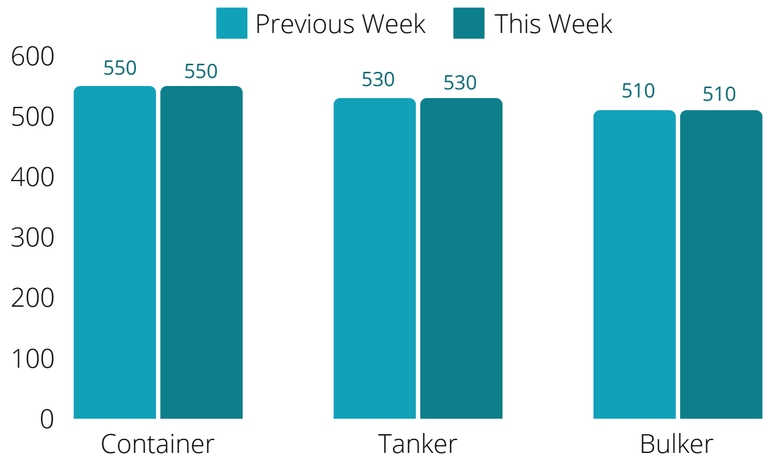
Bangladesh

Persistent demand stagnation and currency devaluation forecast

Market downturn

- The demand remains unchanged, continuing to lack aggressiveness. This has been a consistent trend observed over recent times.
- The Central Bank of Bangladesh has adjusted the value of the Taka, increasing it from 110 to approximately 117 against the dollar. This change complicates existing LC issues further, as recyclers had been arranging LCs at a higher rate (120-126 Taka) even when the official rate was at 110.
- The depreciation of the Taka and complications related to LCs are expected to negatively impact the booking prices in the near future. The market appears to be heading towards a downturn.

Price for Recycling Ships in Bangladesh



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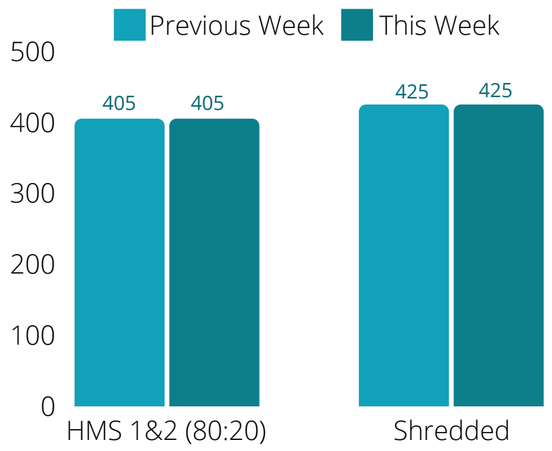


Beaching Dates

22 May to 25 May 2024
05 June to 08 June 2024
22 June to 25 June 2024

Pakistan

Market remains stagnant, making It difficult to predict how long inactivity will last.

- The market continues to exhibit a consistent lack of activity and momentum, mirroring trends observed in previous weeks. This stagnation presents challenges in forecasting the duration of this period of inactivity.

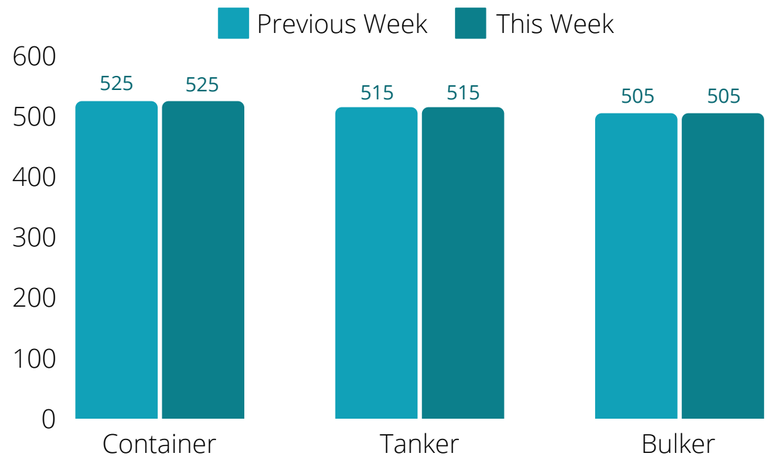
- Iron and steel prices saw a slight decrease on a month-on-month basis in May 2024, continuing a downward trend. This development comes as the economy shows signs of recovery, despite facing ongoing challenges. Individuals planning to initiate construction projects soon may benefit from the lower costs of these materials.

- Pakistan is seeking to renew 12 billion USD in loans to meet budget targets ahead of IMF discussions. The effort aims to address external liabilities before the IMF team's arrival. Additionally, Pakistan anticipates securing over 1 billion USD in new IMF funding to bolster its insolvent economy.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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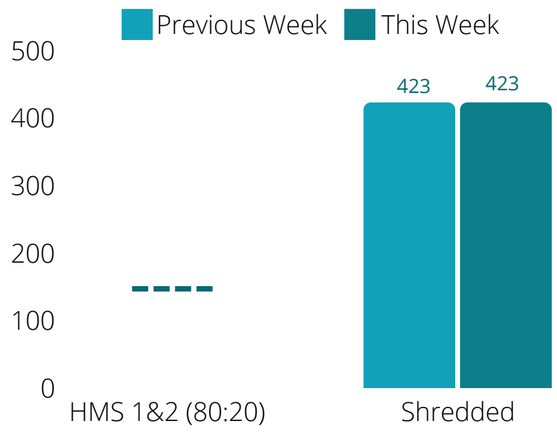


Türkiye

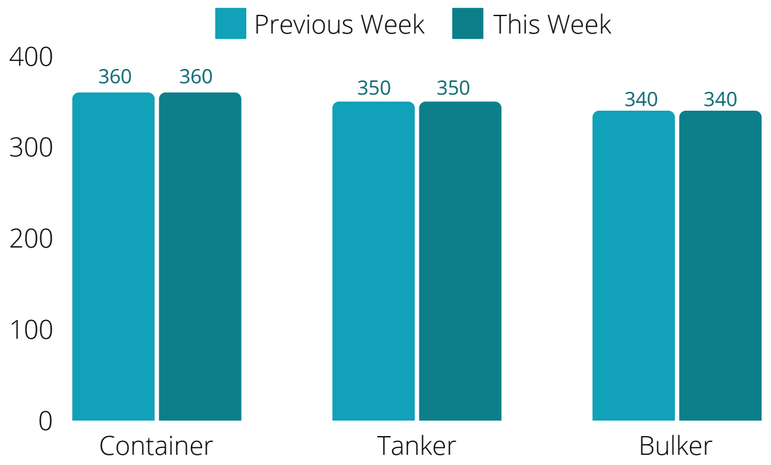
Market remains stable with no significant changes from previous Week.

- The market continues to show no significant changes from the previous week. There remains a steady state in market activities.
- Türkiye has achieved a 12 percent year-on-year increase in its exports of steel products. This growth demonstrates a notable enhancement in the steel sector, contributing positively to the national economy.
- The head of Turkey's central bank has revised the year-end inflation forecast upward, acknowledging the ongoing surge in consumer prices.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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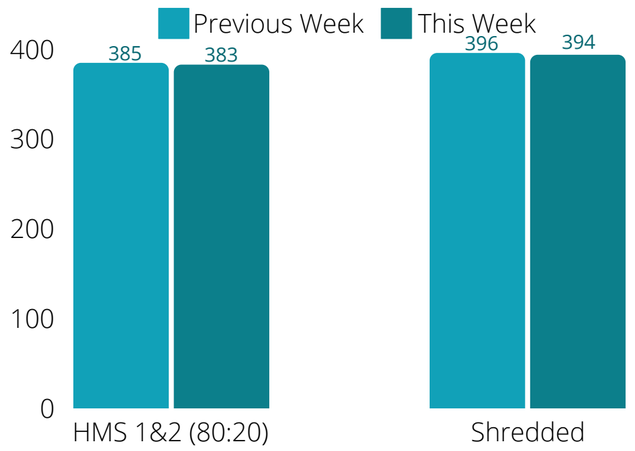
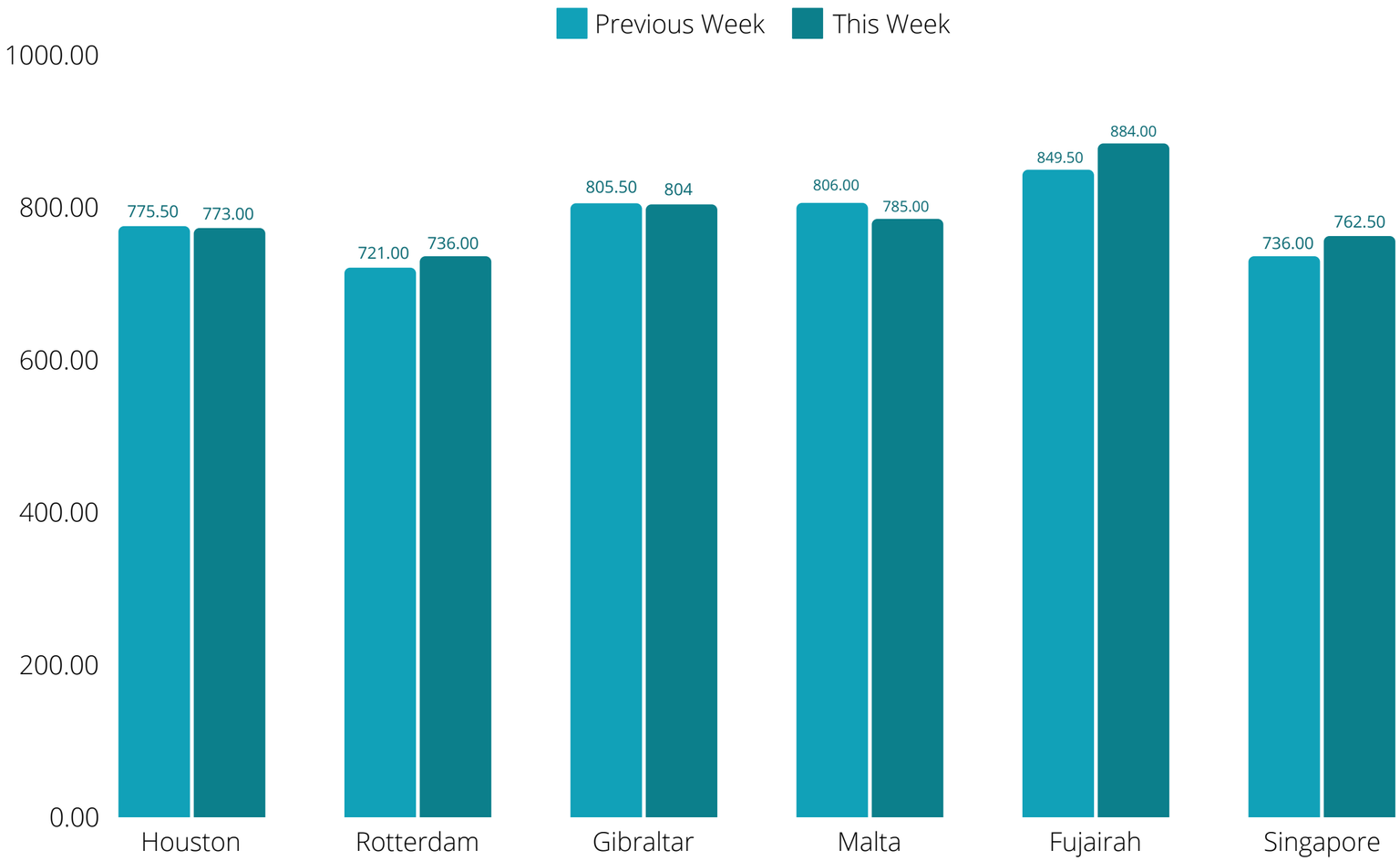


Bunker Prices at Port



Brent Crude

This Week	: 84.36
Previous Week	: 83.56
Movement	: + 0.8

WTI Crude

This Week	: 79.80
Previous Week	: 78.72
Movement	: + 1.08

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
XIN LV BAO SHI	BULKER	9142007	1996	JAPAN	7,844	DELIVERED	CHITTAGONG,BANGLADESH	525
HONG XI	GENERAL CARGO	1060007	2008	CHINA	3,621	DELIVERED	CHITTAGONG,BANGLADESH	515
SIA 32	CONTAINER	8203646	1982	GERMANY	2,801	DELIVERED	CHITTAGONG,BANGLADESH	530
S MARU 5	FISHING SUPPORT	8401365	1983	JAPAN	1,700	DELIVERED	CHITTAGONG,BANGLADESH	500

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